

Week ending: 24th September 2021

Weekly Fixed Income Note

Key Highlights:

- T-bills remained undersubscribed for the fifth week running with the overall subscription rate decreasing to **42.33%** compared to the **54.57%** recorded last week. We partly attribute the undersubscription to investors preferring the more lucrative and shorter period Term auction Deposits (TADs) and Reverse Repos whose yields touched a high of 8.47%, during the week coupled with the reduced liquidity in the market. 91-day paper was the most subscribed at **119.84%**, with the 364-day paper recording a minimal **6.95%.** We continue to see a sustained appetite for borrowing by the government as evidenced by the CBK accepting 100% of the **KES 10.15 Bn** worth of bids received. The yields on all the papers maintained their upward momentum edging up by **2.60 bps, 3.20bps** and **4.50bps** to **6.90%, 7.28%** and **7.89%** for 91, 182 and 364 – day papers, respectively.
- The central bank is looking to raise **KES 60.00 Bn** for budgetary support by reopening three bonds, **FXD1/2013/15, FXD3/2019/15 and FXD1/2021/25.** The bonds will attract coupon rates of **11.25%, 12.34% and 13.92%** and are currently trading at yields of **11.69%, 12.68%** and **13.46%,** respectively. We shall be providing a further analysis and a guide on the recommended bidding range in our primary auction note.
- In the secondary market, the value of bonds traded increased by **1.21%** to **KES 41.02 Bn** from **KES 40.53 Bn** recorded last week. On a year-to-date basis the Yield Curve has readjusted upwards in the mid range but held steady in the short and long end of the curve. FTSE Bond index closed the week at **96.87** taking the YTD loss to **1.13%.**

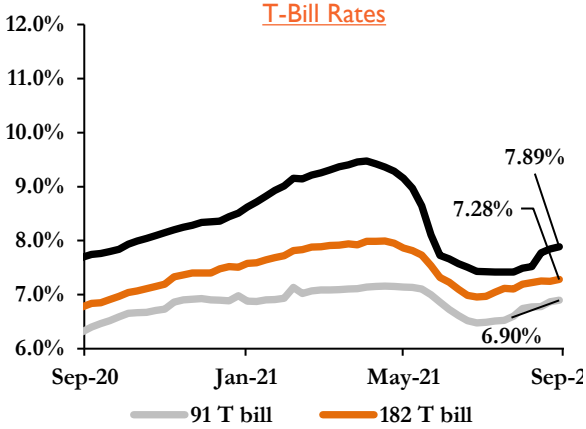
We maintain our expectation of activity in the secondary bond market being driven by investors hunting for higher yields and profit-making opportunities. Continued borrowing by the government is likely to put some upward pressure across the yield curve, in the near term.

Macroeconomic data	Current	Previous
GDP (2020 vs. 2019)	(0.30%)	5.00%
Inflation (August)	6.57%	6.55%
Private sector credit growth (June)	7.70%	7.10%
Money Supply (June)	6.30%	7.60%

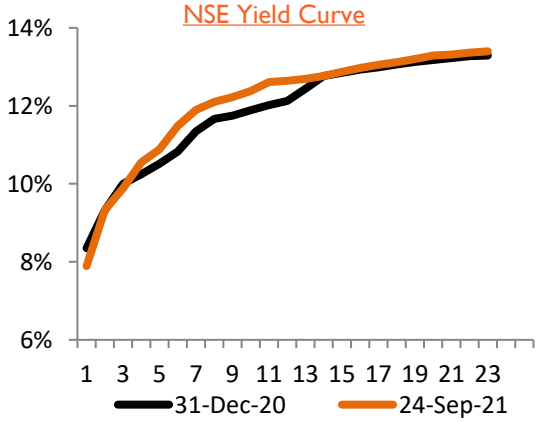
Key Indicators

	Current	Previous	% Change
91- Day	6.90%	6.87%	0.03%
182-Day	7.28%	7.25%	0.03%
364-Day	7.89%	7.84%	0.05%
Interbank Rate	6.14%	4.24%	1.90%

T-Bill Rates



NSE Yield Curve



MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the dollar this past week depreciating by **0.20%** to trade at **110.09** from **109.87** at the close of last week. The shilling has depreciated by **0.84%** against the USD on a Year-To-Date basis. The CBK's usable forex reserves currently stand at **USD 9,521** million (**5.82** months of import cover), a **1.02%** week-on-week decline from **USD 9,619** million (**5.89** months of import cover) recorded last week.

We expect the local currency to continue under pressure due to the increase in global oil prices, coupled with reduced dollar inflow from key export earning sectors such as agriculture and tourism.

Liquidity

Liquidity in the money markets tightened, during the week, as evidenced by the average interbank rate increasing to **6.14%** from **4.24%** recorded in previous week. The central Bank was in action to mop up excess liquidity by accepting Reverse Repos of **KES 18.50 Bn**, with the Repo Rates touching **8.45%**.

We expect the interbank rate to remain elevated in the region of 6.00%, for the coming week, mainly driven by aggressive open market operations by the CBK. However, government payments and the banking sector mobilization of end of quarter deposits should supply inflows.

September MPC Meeting

The MPC will be meeting tomorrow 28th September, to provide direction on the benchmark rate. In the previous meeting the committee noted that there was an improvement in the leading economic indicators. Therefore, the committee decided to continue with the accommodative monetary policy stance so as to provide further support to the recovery. The meeting comes at the back of the need to tame the rising inflation. **We expect the committee to maintain the benchmark rate at 7.00% for the tenth consecutive time**. Our conviction, on the likely stance, is reinforced by the need to support the declining private sector credit growth and the recovery transmission across the economy. The continued vaccine inoculation reduces the downside risks of another lockdown, boosting further recovery.

CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Solomon Kariuki
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email:
trading@aib-axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication may not be distributed to the public media or quoted or used by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.